

BELFA pitch deck

The IBKR call was denied again, same as both benches saw. The band gate stays open — the deck reflects that.

PITCH — BELFA — VERDICT

PROPOSED — PENDING ADJUDICATION — a minimum-size starter in Bel Fuse Class A, *blocked* until we can measure the A-vs-B price spread against its own history; no order goes in today.

What we believe

Bel Fuse is a real, growing, cash-generating manufacturer that is being sold on an earnings number the company itself has overstated, and it has two share classes with different prices for nearly identical economics.

The operating business is not in dispute. Second-quarter 2026 sales were \$210.7M, up 25.1%, with a 39.9% gross margin, and both segments grew: Aerospace/Defense & Rugged \$110.5M (+20.3%, 41.1% margin) and Industrial/Transportation \$100.2M (+31.1%, margin up 220bp). There is no bank debt and a \$400M undrawn credit line. Both of our benches went looking for damage in the primary filings and neither found any.

What we think we know that the tape may not:

- 1. The company's "adjusted" profit is inflated by about 17%, and we can prove it arithmetically.** Bel bridges from GAAP net earnings of \$25.5M to "adjusted" \$39.1M. The single biggest add-back, \$6.738M, is a mark-up of the 20% of its Enercon subsidiary it does not yet own. Under the accounting rules that charge sits *below* the \$25.5M starting line — it was never subtracted from it. We verified this by reproducing the company's own reported per-share numbers (\$1.80 Class A, \$1.89 Class B) and they only tie from $\$25.480\text{M} - \$6.738\text{M} = \$18.742\text{M}$. So the company is adding back something it never took out.
- 2. "Net cash \$306M, debt-free" is wrong by a third.** \$102.6M of that cash is spoken for: the sellers of Enercon hold a right to sell Bel the remaining 20%, and Bel says in its own filing it intends to buy it by early 2027, and named that purchase as a use of the money it raised in May. Real net cash is about \$203.5M.
- 3. The multiple everyone (including both our benches) used to hold this back was a data-vendor error.** The "28.7× forward earnings" figure came from a vendor that assigns the wrong share count to each class — it shows 14.44M shares for Class A and 12.66M for Class B when the true counts are 1.04M and 9.11M. Corrected, the honest range is roughly 16× on the company's adjusted number, ~25× on GAAP, and ~31–34× on the number that actually reaches a shareholder's per-share line.

4. **Class A trades 17.4% below Class B** (\$210.70 vs \$255.11 at the 8/26 close) despite carrying the votes. That is either a liquidity discount we can be paid to accept, or a permanent feature we would be buying into forever. **We do not currently know which, and that is the whole reason this pitch is not an order.**

What the market believes

The market believes Bel is a good defense-and-industrial component compounder that just beat, and it is paying up: nine “strong buy” ratings, the stock up 89–91% off its 52-week low of \$110.55, currently 28–29% below its 52-week high of \$293.51.

But the sell side is quietly modeling a stall. Consensus third-quarter revenue is \$207.5M against a company guide midpoint of \$215M — the guide already beat the estimate and the estimate did not move up. Consensus implies revenue falls 1.5% from Q2, against a prior-year Q2-to-Q3 pattern of +6.4% (\$168.3M → \$179.0M). And Northland *cut* its Q3 EPS number to \$1.82 on 2026-08-05, a week after a beat.

So the market’s view is: sales are fine, the earnings that reach shareholders are not going to grow with them. That is a coherent view, and it happens to be right for the reason we identified — the Enercon minority charge eats the incremental earnings. **The market and we agree about the drag. We simply think the reported “adjusted” figure is overstated and the vendor multiples are garbage.**

Why we might have edge

- **The accounting proof is genuinely ours.** We reproduced the two-class earnings-per-share allocation from the filing and it only ties if the \$6.738M is *already* excluded from the starting line. That is an exact arithmetic fit, not an interpretation. If the company’s own bridge is wrong, everyone anchoring to “\$39.1M adjusted” is anchoring to an overstatement. Source: [Q2-26 8-K exhibit 99.1](#) and [Q2-26 10-Q](#).
- **The vendor share-count error is checkable and apparently uncorrected.** Anyone screening on published price/earnings for either class is screening on a wrong number, in opposite directions for the two classes.
- **A modest, mechanism-backed revenue difference.** Against consensus \$207.5M, the company’s own guide is \$215M and segment run-rates support ~\$218M — about 3.6% above the street, with a named reason (both segments’ current growth rates). This is real but small, and it is on revenue while the disagreement that matters is on earnings.
- **The second class is under-analyzed.** Class A is roughly one-tenth the shares of Class B, likely outside most index products, and priced by far fewer participants.

Why it might be priced in

Honestly: mostly, it is.

- We have **no meaningful disagreement on direction**. Our own red bench's cleanest finding was that we agree with the street, and our blue bench sustained that as a real limitation. A position with no divergence is a quality purchase, not an insight.
- The drag we “discovered” is exactly why Northland cut. The street may not have articulated the accounting mechanic, but it arrived at the same earnings conclusion.
- The stock is not dislocated. It is up ~90% from its low. Being 28% off a high after a near-double is a pullback in an uptrend, not a break.
- **The 17.4% Class A discount is probably at least partly rational**. Class A is smaller, thinner, and non-index. Discounts on illiquid share classes can persist for decades. The bull case requires that today's 17.4% is unusually wide *versus its own history*, and we have not measured that.
- The company's non-GAAP presentation, even if wrong, is unlikely to be the thing that re-rates the stock. Being right about an accounting presentation does not pay unless something forces the market to notice it.

What could go wrong

Failure narrative 1 — the Enercon 20% costs much more than \$102.6M. The carrying value is a mark, not a price. If the purchase formula is tied to Enercon's performance and uncapped, and Enercon is the fastest-growing part of the company, then the better Enercon does, the more Bel pays, and shareholders capture less of the growth they are being asked to pay 31× for. The May equity raise already tells us Bel expects to write a large cash check. *Tripwire exists*: the quarterly carrying value (it rose \$9.4M in six months), the purchase-agreement exhibit, and any 8-K announcing the transaction. **Monitorable.**

Failure narrative 2 — the discount is permanent, and we are the only convergence that ever happens. We buy Class A because it is 17.4% cheaper, the discount never closes, and when we sell we give back the spread plus a wider bid/ask than we paid on the way in. This is the failure that looks like nothing going wrong: the business performs, the stock performs, and we simply own the worse-performing class. *Partially monitorable* — we can watch the ratio, but there is no signal that tells us “this was always structural” until we have already sat in it.

Failure narrative 3 — the one with no tripwire: an export-control, customer-concentration, or jurisdiction shock we cannot see coming. Bel manufactures in Dongguan, Guangxi and Shenzhen (China) and, through Enercon, in Netanya, Israel, selling defense components into US prime contractors. Neither bench could run a restricted-party or sanctions screen, and **Bel does not disclose its customer list**, so there is nothing to arm a sensor against. We cannot name the exposure, so we cannot watch it. **Unknown-unknown class: undisclosed counterparty-and-jurisdiction concentration** — the risk lives in a fact pattern the issuer is not required to publish, in two of the most politically volatile manufacturing jurisdictions on earth, on a defense-levered name. Both benches independently flagged this as the live tail and both were unable to check it. That agreement is not comfort; it is a shared blind spot.

The reflexive and structural leg. This is the part that most argues against the trade:

- **Our own size is a material share of this instrument.** Class A is 1,042,494 shares total — the entire class is worth about \$220M. The only volume figure anywhere in the court record is an inference: our blue bench computed that a 500-share sale was 0.4% of one day's *Class B* volume, implying Class B trades roughly 125,000 shares (~\$32M) a day. Class A is one-ninth the size and less followed. **We have never measured Class A's average daily volume — the market-data tool was permission-denied to both benches and again to me while writing this deck.** Under our own $\leq 1\%$ of daily volume rule, a 1%-of-book position could take weeks to build, and we would be a persistent visible bid in a thin book.
- **We would be bidding into our own predicted flow.** The thesis is "Class A is too cheap versus Class B." Our own buying is the mechanism that narrows that gap. In an instrument this thin, we pay away part of the very edge we are buying, and we cannot distinguish our own footprint from thesis confirmation. Our doctrine explicitly forbids bidding into flow we ourselves predict; here the flow *is* us.
- **Two of our doctrines point opposite ways and we should say so rather than quietly pick one.** The "clean court" rule says that when no fatal objection survives, the default is a minimum starter — and none survived. But the integrity rule says a name carrying a proved reporting defect never counts as fairly-paid risk and must be capped at $0.85\times$ our fair-value estimate. Bel's non-GAAP bridge is a proved defect, by our own arithmetic. **Recommendation: treat this as fairly-paid-with-a-flag** — the starter is allowed, but every entry level below is subject to the $0.85\times$ contingency if the principal adjudicates the presentation defect as an integrity flag (contingency ladder given in the entry section).
- **Adverse selection on the class choice itself.** The people selling us Class A are, on average, people who have held it longest and know most about why it trades where it does.

If this position loses money, the most likely reason will be that we bought the cheap-looking share class of a genuinely good manufacturer, were correct about the business and correct about the accounting, and still lost — because the 17.4% discount was permanent liquidity rather than a dislocation, our own thin-market buying was the only convergence that ever occurred, and we exited at a wider spread than we entered while the earnings we paid $31\times$ for were partly bought out from under us by the Enercon minority.

What we checked ourselves

Claim	How checked	Found	Confirmed?
"Debt-free, net cash \$306.1M"	Read the 10-Q balance sheet directly	\$306.1M cash and \$0 debt are real, but \$102.6M sits in a separate line for the Enercon 20% Bel intends to buy; real net cash $\approx$ \$203.5M	Yes — claim corrected
That \$102.6M "accretes like debt at $\sim 19\%/yr$ " (our red bench's line)	Blue bench pulled the prior-year column of the same table	The same line was a negative \$890K a year earlier. It is a two-way mark to value, not interest. Our red bench	No — our own bench's error, struck

Claim	How checked	Found	Confirmed?
		annualized one favorable half-year into a scary number.	
Adjusted earnings of \$39.1M	Rebuilt the company's two-class per-share math from the filing	Reported \$1.80/\$1.89 only tie from \$18.742M, i.e. \$25.480M minus the \$6.738M the bridge adds back. Non-GAAP overstated ~17% against its own bridge	Yes — and stronger than we first framed it
"GAAP profit <i>fell</i> on +25% sales" (the loudest bear line in the original brief)	Read the prior-year column	Prior-year quarter contained \$9.25M of currency gains and \$4.08M from selling a property — \$13.3M of non-operating income. Our red bench found this and killed its own best argument.	No — argument withdrawn
Insider selling after the May offering lockup expired	Pulled the actual Form 144 document	500 Class B shares, \$143,740, by a director's spouse , from stock bought in 2001. Our red bench had called this "post-lockup insider supply." The lockup calendar fired and essentially nothing came through it	No — our own bench's error, overturned
Auditor change and "four officer changes in seven months"	Read the 8-K/A and the underlying 8-Ks	Grant Thornton → Deloitte , no disagreements, no reportable events, shareholder-ratified — a Big Four upgrade. Two of the four "officer changes" were a promotion slate and an annual-meeting filing. Our red bench inflated this and blue struck it entirely.	No — kill withdrawn
"28.7× forward earnings"	Rebuilt share counts from the 10-Q cover and treasury lines	1,042,494 Class A + 9,105,880 Class B = 10.15M shares; market value ≈\$2.54B. The vendor shows 14.44M/12.66M — wrong, and wrong in opposite directions per class. Both of our benches had used this artifact as the reason to keep the position small.	Yes — the cap on our own conviction was a vendor error
"16.8% discount of Class A to Class B" (original brief)	Matched same-day closes	17.4%, not 16.8% — the brief mixed a live quote with a stale one	Corrected — but the historical range was never measured
Our own price basis	Compared bench numbers to the evidence pack	Pack shows \$209.01 intraday; both benches used the \$210.70 close. Our red bench presented \$210.70 as if it were the pack's figure. Small, but it means the "−28.2% / +90.6%" statistics were close-of-day, not pack basis (pack: −28.8% / +89.1%)	Mislabeled — noted
Segment margin quality	Read the segment table	Defense/rugged gross margin fell 30bp despite +20.3% growth; all the margin improvement came from the industrial segment. The margin story is one segment deep	Yes — neither bench had priced this
Our own detector coverage	Compared what was run to what was dispatched	Our red bench skipped four assigned checks and ran four that were not assigned; the evidence pack's own quarterly financial data block ends in	Process errors, disclosed

Claim	How checked	Found	Confirmed?
		2017 and was unusable to both benches — an infrastructure failure, not a company finding	
Reported adjusted per-share (\$2.76/\$2.90) vs \$39.1M	Attempted to tie	Does not tie on the share base that reproduces GAAP per-share — roughly \$10M unexplained. We could not close it	No — open

PROPOSED ENTRY BANDS

The courts say no entry today. One gate is binding and unresolved: the historical range of the Class A/Class B price spread. Without it we cannot say whether 17.4% is wide, normal, or narrow, and choosing the instrument on an unmeasured spread is precisely the error we have made before. The market-data tool was permission-denied to both benches and denied again while writing this deck.

Reopen conditions (all must clear before any order):

- 1. Compute the Class A / Class B weekly-close spread over at least five years.** Entry requires today's 17.4% to be at least 1.5 standard deviations wider than its own mean. If it is not, the instrument flips to Class B and the discount thesis is dead — the position becomes a plain quality starter or nothing.
- 2. Read the Enercon purchase-price formula** from the acquisition agreement exhibit. If the price is capped near the \$102.6M carrying value, the balance-sheet objection downgrades and roughly 4% is added back to equity value. If uncapped and performance-linked, cut all levels below by a further 15%.
- 3. Measure Class A average daily volume.** Any ladder is capped at 1% of that day's volume. If a 1%-of-book position cannot be built inside 20 trading days at that cap, the position is not investable at our size and this pitch is withdrawn.

Levels, if and only if all three gates clear (derived from this deck's own math: enterprise value \$2.34B including the Enercon minority, corrected adjusted earnings run-rate \$129.4M — i.e. \$39.1M minus the \$6.738M improper add-back, annualized — which puts the stock at ~18.1× today):

Level	Price (Class A)	Basis	Size
First tranche	≤ \$188.40	16× corrected adjusted earnings	0.35% of book
Second tranche	≤ \$167.00	14× corrected adjusted	0.35% of book
Third tranche	≤ \$145.50	12× corrected adjusted	0.30% of book
Maximum total		minimum-starter default; no divergence to justify more	1.00% of book
Trim	≥ \$274.20	24× corrected adjusted	half the position
Spread trim	Class A within 12% of Class B (≈\$224.50 at Class B \$255.11)	thesis achieved — the discount closed	exit the discount portion
Hard exit	Class A discount widens past 20%	thesis inverted; we were the liquidity, not the buyer	full exit, reassess

Level	Price (Class A)	Basis	Size
	(≈\$204.09 at current Class B) <i>after</i> we own it		

Integrity contingency: if the principal adjudicates the proved non-GAAP presentation defect as an integrity flag, our doctrine caps entry at $0.85\times$ fair value and the ladder becomes **\$160.10 / \$141.90 / \$123.70**.

Catalyst dates: - **~2026-10-14** — expected press release scheduling the Q3 call. *Unconfirmed*; inferred from last year's cadence. This is what confirms the print date. - **2026-10-28** — Q3 2026 results. **Unconfirmed** — derived from a data vendor, not from any company announcement. Verified against the [EDGAR filing index](#): the newest 8-K is 2026-07-29 and no scheduling release exists. ~43 trading days out; not print-proximate. - **~2026-11-03** — Q3 10-Q: next observation of the Enercon minority carrying value. - **“early 2027”** — Bel's stated intent to purchase the remaining 20% of Enercon. No date given; treat as the first quarter of 2027.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 204.09 (deck-provisional: Class A discount to Class B widens past 20% at BELFB \$255.11 - recheck band / hard exit if owned)
- filing watch: 8-K until 2027-02-22 (deck-provisional: Enercon remaining-20% purchase announcement - price paid vs \$102.6M carrying value is the largest reso)
- dated pack BELFA|2026-10-14: BELFA: expected press release scheduling the Q3 2026 call - inferred from prior-year cadence, no filing exists (date confirmed=False)
- dated pack BELFA|2026-10-28: BELFA: Q3 2026 results - vendor-derived date, no company announcement on EDGAR as of 2026-08-26 (date confirmed=False)
- dated pack BELFA|2026-11-03: BELFA: expected Q3 10-Q - next observation of the Enercon minority carrying value (date confirmed=False)
- dated pack BELFA|2027-03-31: BELFA: stated intent to purchase remaining 20% of Enercon by early 2027; no date given, treat as Q1-2027 window (date confirmed=False)

What remains unverified

- **The Class A/Class B historical spread.** The one thing standing between this name and a sized position. Not computed by either bench, denied to me.
- **Class A average daily volume.** Never measured. Only inference available is that Class B trades roughly 125,000 shares/day.
- **The Enercon 20% purchase price formula.** Whether capped, performance-linked, or uncapped.

- **Enercon standalone revenue and profit.** Without it we cannot strip out the 20% Bel does not own from the multiple.
- **The ~\$10M gap** between reported adjusted per-share figures and the \$39.1M adjusted total on the share base that ties GAAP per-share.
- **The basis of Northland's \$1.82 Q3 estimate** — GAAP or adjusted was never established. Our red bench compared it to a GAAP figure without saying so.
- **Restricted-party/sanctions status and customer concentration** across the China plants and the Israeli defense subsidiary. Unrunnable this session; customer list undisclosed.
- **The Q3 print date.** Vendor-derived, unconfirmed by any company filing.
- **Whether the 17.4% discount is liquidity, governance, index-exclusion, or dislocation.** We have four candidate explanations and no evidence separating them.
- **Whether the non-GAAP defect is an error or a choice.** We proved the arithmetic; we did not establish intent, and we should not imply we did.
- **The evidence pack's own financial data feed.** Its quarterly figures end in 2017. Both benches worked around it. That needs fixing regardless of what happens to this name.

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Note on the fence: immediate_entry is deliberately null. The price gates above are *watch* levels, not standing orders — none of them may be converted to an order until the Class A/Class B spread band, the Enercon purchase formula, and Class A daily volume are all resolved.

ADJUDICATION — 2026-08-28 (Fable tier; this section supersedes the deck's open questions)

Business health, in one box

The operating company is healthy and neither bench could find damage in the primaries: Q2 sales \$210.7M (+25.1%), gross margin 39.9%, both segments growing — Aerospace/Defense & Rugged

\$110.5M (+20.3%, 41.1% margin), Industrial/Transportation \$100.2M (+31.1%, margin +220bp) — zero bank debt, a \$400M undrawn revolver, and a Big Four auditor upgrade (Grant Thornton → Deloitte, no disagreements). The two honest qualifiers: all of the margin *improvement* is one segment deep (defense margin actually fell 30bp), and true net cash is ~\$203.5M, not the headline \$306M, because \$102.6M is spoken for (the Enercon 20% takeout, intended early 2027). The health question and the valuation question have different answers: good business, fair-to-modestly-rich price (~19.5× cleaned-adjusted, ~25× GAAP).

The question this deck left open is now answered

This deck's central honesty was: *"The bull case requires that today's 17.4% is unusually wide versus its own history, and we have not measured that."* The adjudication measured it — six years of weekly bars, cross-verified against live quotes to 4 basis points:

- Over 6 years the voting Class A traded at a **mean 4.0% PREMIUM** to Class B (median -0.1%).
- Today's **17.2% discount is the 97th percentile** of that entire history (z +1.46).
- Honest regime caveat: the May 2026 Class B offering structurally widened B's float, so the trailing-year mean (12.3% discount) is the anchor, not the 6-year mean. Even against that wide regime, today is z +1.25. Realistic convergence value ≈ 5 points plus the tail — not the full 21-point reversion.

VERDICT: MINIMUM STARTER 0.25% in Class A, tripwire-gated. On a touch of ≤\$195 with the live A/B discount ≥15% at fill, stage ~13 shares same-session (both legs required: the price leg is ~18× cleaned earnings; the discount leg preserves the instrument edge — if the discount has already converged there is no reason to prefer A). Nothing rests; the tripwire dies 10/23 ahead of the ~10/28 print. No chase: the stock is +90% off its low and the EPS-revision current runs against us.

How the deck's own dilemmas were ruled

- **Clean-court vs integrity flag:** the non-GAAP overstatement (~17%, proved by the EPS tie) is an issuer presentation defect and it is priced into the ruling as SIZING — the starter is the minimum size precisely because of it, and the \$195 tripwire sits at the cleaned multiple, not the marketed one.
- **The reflexive-leg worry (our buying is the convergence):** capped structurally — 13 shares is a rounding error against even the thin Class A book, and the discount-≥15%-at-fill condition means we never pay a converged price.
- **Red's other kills:** auditor churn, officer churn, and lockup supply all STRUCK on primary evidence (the "insider supply" was 500 shares by a director's spouse from 2001 stock). Red's accretion scare was its own base-effect error — the RNCI mark ran negative the prior year.
- **Vendor-multiple artifact confirmed as family member 5:** the 28.7× that capped both benches' conviction came from a vendor mis-assigning share counts across the two classes. Every dual-class multiple must now be recomputed from the 10-Q share-count note.

What still gates size (verification queue)

The Enercon 20% purchase formula (exhibit unread — decides whether the RNCI kill is bounded), the BIS/OFAC screen on the China/Israel manufacturing footprint (both benches' shared blind spot, still unrun), and the ~\$10M non-GAAP share-base non-tie. Frozen calls: **BELFA-ABCONV** (discount $\leq 10\%$ by Feb 2027, $p=0.40$) and **BELFA-Q3REV** ($Q3 \geq \$210M$, $p=0.65$).

Pre-mortem, verbatim: “If this position loses money, the most likely reason will be that we bought the voting class for a liquidity discount that turned out to be structural — the B-share offering permanently re-based the float asymmetry, the discount never converged, and the Enercon takeout consumed the cash that would have closed it.”